

CAPITAL MARKETS

JPMorgan's \$425M Third Avenue Exit: The Basis Is the Deal, Not the Building

The bank's stake sale reveals that office liquidity is returning only where the sponsor can command a credible repositioning story.

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A source-grounded Light Tower Insight. The complete note follows.

JPMorgan Asset Management is trying again to sell its 49 percent stake in Fisher Brothers' 605 Third Avenue. The asking valuation this time: \$425 million. That is \$175 million less than the \$600 million the bank sought in 2020, when the building was 97 percent leased and the pandemic was still a question without an answer.

The conventional reading is straightforward: office valuations have reset, JPMorgan is taking its medicine, and a new buyer steps into a repositioning story at a lower basis. That reading is not wrong. But it is incomplete. The more revealing fact is not the discount. It is that JPMorgan is selling at all.

JPMorgan Asset Management is not a forced seller in any conventional sense. The bank has no looming debt maturity on this stake. It is not under regulatory pressure to shrink its real estate exposure the way regional banks are. It is choosing to exit a 49 percent minority position in a 1 million-square-foot Midtown tower that is 84 percent leased, with a business plan projecting 60 percent income growth over five years. That is not a distress sale. It is a liquidity decision by a sophisticated institutional capital allocator that has decided its capital is better deployed elsewhere.

The offering memo, handled by Newmark's Adam Spies and Josh King, frames the opportunity as a strategic repositioning to elevate the property into the top tier of the Grand Central competitive set. Fisher Brothers will retain majority ownership and control. The new partner buys into a Fisher-led business plan, not a passive hold. That structure matters. It means the buyer is not underwriting the building as it stands. It is underwriting Fisher Brothers' ability to execute a lease-up and rent-reset over the next five years.

That is a different risk than buying a stabilized asset. The buyer is betting on management, timing, and the corridor's recovery. Third Avenue's vacancy rate of 20.3 percent, per Colliers, is more than three times Park Avenue's 6.5 percent. The repositioning plan assumes that gap narrows. That is a plausible thesis. It is not a guaranteed one.

The \$425 million valuation implies a per-square-foot price of roughly \$425, based on the building's 1 million square feet. That is a significant discount to the \$600 per square foot JPMorgan sought in 2020, and well below the \$1,100 per square foot that Fisher Brothers and Vornado effectively realized

in the Park Avenue Plaza recap earlier this year. The spread between Park Avenue and Third Avenue is not just a location differential. It is a liquidity premium. Capital is available for the right basis on the right corridor with the right sponsor. It is not available broadly.

JPMorgan's decision to exit now, rather than hold through the repositioning, tells the market something about the bank's internal return thresholds. A 49 percent minority stake in a repositioning is not a passive investment. It requires ongoing capital calls, committee approvals, and patience through a multi-year business plan. JPMorgan is choosing to monetize that position at a discount rather than carry the execution risk. That is a signal about how institutional capital is pricing time and uncertainty in office today.

The buyer who steps in will be making a different calculation. They are buying a Fisher Brothers-led plan at a basis that allows for error. The \$425 million valuation gives the new partner a lower entry point, a credible sponsor, and a five-year window to capture rent growth. If the plan works, the returns are attractive. If it does not, the basis provides a cushion that JPMorgan's 2020 entry price did not.

This is the pattern emerging in New York office: capital is returning, but it is not returning evenly. It is concentrating in assets where the sponsor can command trust, the basis is defensible, and the business plan is credible. JPMorgan's exit is not a vote of no confidence in 605 Third Avenue. It is a vote of confidence in liquidity at the right price. The question for the market is whether that liquidity is deep enough to absorb the next wave of maturities, or whether it remains a narrow channel available only to the strongest sponsors on the best corridors.

The next test will be SL Green's 711 Third Avenue, also marketed by Newmark, targeting \$160 million. If that trades at a similar basis, the pattern is confirmed. If it stalls, the market will know that liquidity is still conditional on sponsor quality and corridor prestige. Either way, the answer will be in the basis, not the headline.

SOURCES

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<https://therealdeal.com/new-york/2026/07/22/jpmorgan-to-sell-stake-in-fisher-brothers-605-third-avenue/>

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